KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:

Shri. T.K. Jose, Chairman

Adv. A.J. Wilson, Member

Shri. B. Pradeep, Member

Petition No.: OP No. __ / 2026

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	328.18	15.27	PARTIAL_APPROVAL	Disallowed ¹15.27 Cr as per Regulation 11 (Terms and Conditions for Determination of Tariff) Regulations, 2021, due to excess distribution loss beyond the normative limit of 5.00%. The allowable amount is strictly calculated as ¹328.18 Cr, accordance with the KSERC mathematical formulas and the penalty for excess distribution loss.
Employee Costs	21.63	19.19	2.44	PARTIAL_APPROVAL	The allowed amount is determined based on the strictly calculated allowable amount according to KSERC mathematical formulas, which is ¹19.19 Cr. amount is in line with the normative O&M limits as per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024. The disallowed amount of ¹2.44 Cr is due to the excess cla the normative limits.
O&M Expenses	5.17	4.81	0.36	PARTIAL_APPROVAL	The allowed amount is set at ¹4.81 Cr, as t maximum allowable under the normative limits. The excess amount of ¹0.36 Cr (¹5.17 Cr - ¹4.81 disallowed as per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which restricts excess O&M expenses beyond normative limits.
Admin & General Expenses	18.90	1.59	17.31	PARTIAL_APPROVAL	The allowed amount is set at ¹1.59 Cr, as p strictly calculated allowable amount according to KSERC mathematical formulas, capped at the norm ¹1.59 Cr. This decision is in accordance wi KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024, and the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which dictate strict adherence to normative limits for controllable expenses. The disallowed amount of ¹17.31 Cr (¹18.90 Cr is due to the excess claim beyond the normative limit, as per Regulation [Y] of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Depreciation	1.52	1.52	0.00	APPROVED	The claimed depreciation amount of ¹1.52 C approved as it is an uncontrollable cost and is within the actuals with proof, as per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second Amendment Regulations, 2024.
Return on Equity	0.57	0.57	0.00	APPROVED	The claimed amount of ¹0.57 Cr is approved within the normative limits and does not exceed the approved amount of ¹0.70 Cr, as per Regula KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Interest on Loans	7.15	5.27	1.88	PARTIAL_APPROVAL	Disallowed ¹1.88 Cr as per Regulation 11 o (Terms and Conditions for Determination of Tariff) Regulations, 2021, and further clarified by the Second Amendment Regulations, 2024, which restricts excess expenses beyond approved normative limits. The allowed amount of ¹5.27 Cr is in line with approved figure, adhering to the principles of prudence

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
					and regulatory compliance.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	21.63	19.19	2.44
O&M Expenses	5.17	4.81	0.36
Admin & General Expenses	18.90	1.59	17.31
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	328.18	15.27
Depreciation	1.52	1.52	0.00
Return on Equity	0.57	0.57	0.00
Interest on Loans	7.15	5.27	1.88

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	361.13
Actual Revenue Collected	37.22
Revenue Gap	323.91

4. Commission's Observations, Directions & Narrative

Order on approval of Truing Up of accounts for FY 2024-25 - Kanan Devan Hills Plantations Company

Component-wise Analysis

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict
Power Purchase Cost	₹343.45 Cr	₹328.18 Cr	₹15.27 Cr	Partial Approval
Employee Costs	₹21.63 Cr	₹19.19 Cr	₹2.44 Cr	Partial Approval
O&M Expenses	₹5.17 Cr	₹4.81 Cr	₹0.36 Cr	Partial Approval
Admin & General Expenses	₹18.90 Cr	₹1.59 Cr	₹17.31 Cr	Partial Approval
Depreciation	₹1.52 Cr	₹1.52 Cr	₹0.00 Cr	Approved
Return on Equity	₹0.57 Cr	₹0.57 Cr	₹0.00 Cr	Approved
Interest on Loans	₹7.15 Cr	₹5.27 Cr	₹1.88 Cr	Partial Approval

Commission's Observations, Directions & Narrative

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kerala State Electricity Regulatory Commission (KSERC) has conducted a thorough review of the truing-up petition submitted by Kanan Devan Hills Plantations Company for the financial year 2024-25.

Financial Performance Tables

Approved ARR Table

Category	Amount in ¹ Cr
Approved ARR	¹361.13 Cr
Actual ARR	¹361.13 Cr

Revenue Gap Table

Category	Amount in ¹ Cr
Revenue Actual	¹37.22 Cr
Revenue Gap	¹323.91 Cr

Commission's Detailed Observations and Reasoning

* The Commission has disallowed ¹15.27 Cr from the Power Purchase Cost as per Regu
Conditions for Determination of Tariff) Regulations, 2021, due to excess distribution loss beyond the normative limit of 5.00%.

* The Employee Costs have been partially approved at ¹19.19 Cr, with a disallowance
exceeded the normative O&M limits as per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021,
and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024.

* The O&M Expenses have been partially approved at ¹4.81 Cr, with a disallowance of
KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which restricts excess O&M expenses beyond
normative limits.

* The Admin & General Expenses have been partially approved at ¹1.59 Cr, with a dis
Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which dictates strict
adherence to normative limits for controllable expenses.

* The Depreciation amount of ¹1.52 Cr has been approved as it is an uncontrollable co
per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second
Amendment Regulations, 2024.

* The Return on Equity amount of ¹0.57 Cr has been approved as it is within the norm
approved amount of ¹0.70 Cr, as per Regulation 12 of KSERC (Terms and Conditions f
Regulations, 2021.

* The Interest on Loans has been partially approved at ¹5.27 Cr, with a disallowance
KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and further clarified by the Second
Amendment Regulations, 2024, which restricts excess expenses beyond approved normative limits.

Controllable vs. Uncontrollable Expenses

Category	Controllability	Claimed Amount	Allowed Amount
Power Purchase Cost	Uncontrollable	¹343.45 Cr	¹328.18 Cr
Employee Costs	Controllable	¹21.63 Cr	¹19.19 Cr
O&M Expenses	Controllable	¹5.17 Cr	¹4.81 Cr
Admin & General Expenses	Controllable	¹18.90 Cr	¹1.59 Cr
Depreciation	Uncontrollable	¹1.52 Cr	¹1.52 Cr
Return on Equity	Controllable	¹0.57 Cr	¹0.57 Cr
Interest on Loans	Controllable	¹7.15 Cr	¹5.27 Cr

Summary Order / Directions

The Commission hereby approves the truing-up of accounts for Kanan Devan Hills Plantations Company for the financial year 2024-25, with the allowed amounts as specified in the component-wise analysis table. The licensee is directed to adhere to the normative limits and regulatory requirements as specified in the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second Amendment Regulations, 2024.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-
Secretary

Order dated 05 03 2026